

Chapter 2 Revenues and Expenses

In the last chapter, I discussed how assets and liabilities of a corporation are handled. Of course, most companies are in business to make profits, not just to buy and sell assets. So, in this chapter, I will review how revenues and expenses are handled and how these accounts impact the asset, liabilities, and equity accounts.

Revenue and Expense Accounts

To start with, let's expand the chart from the previous chapter to include revenues and expenses. The updated chart is displayed below:

Table 7: Debit/Credit Summary for All Account Types

Description	Debit	Credit
Assets such as cash, inventory, computers, office supplies, etc.	Increase	Decrease
Liabilities such as phone bills, car loans, sales tax collected, etc.	Decrease	Increase
Equity such as owner's contributions, common stock, etc.	Decrease	Increase
Revenues: Monies or IOUs received from sales of a product or service.	Decrease	Increase
Expenses: Expenditures related to sales such as postage, shipping supplies, etc. Also fixed expenses such as rent, phone bills, utilities, etc.	Increase	Decrease

I've drawn a line, breaking the chart into two groups. The first group (assets, liabilities, and equity) are referred to as permanent or balance sheet accounts. The second group (revenues and expenses) are referred to as temporary or income statement accounts. The major differences between the two are:

1. Balance sheet accounts are displayed on the balance sheet while income statement accounts are displayed on the income statement.
2. Permanent accounts keep a running balance for the life of the business while temporary accounts only keep a balance for one period. As a new period starts, these accounts get reset to zero. This process is called closing, which we will cover in more detail later. A period can be any length of time for which your accounting system wants to keep income.